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Portfolio Management: An Overview

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TYPES OF INVESTORS

Learning Outcomes

- describe types of investors and distinctive characteristics and needs of each
- describe defined contribution and defined benefit pension plans

The portfolio management process described in the previous section may apply to different types of investment clients. Such clients are broadly divided among individual (or retail) and institutional investors. Each of these segments has distinctive characteristics and needs, as discussed in the following sub-sections.

Individual Investors

Individual investors have a variety of motives for investing and constructing portfolios. Short-term goals can include providing for children's education, saving for a major purchase (such as a vehicle or a house), or starting a business. The retirement goal—investing to provide for an income in retirement—is a major part of the investment planning of most individuals. Many employees of public and private companies invest for retirement through **defined contribution pension plans** (DC plans). DC plans are retirement plans in the employee's name usually funded by both the employee and the employer. Examples include 401(k) plans in the United States, group personal pension schemes in the United Kingdom, and superannuation plans in Australia. With DC plans, individuals will invest part of their wages while working, expecting to draw on the accumulated funds to provide income during retirement or to transfer some of their wealth to their heirs. The key to a DC plan is that the employee accepts the investment and inflation risk and is responsible for ensuring that there are enough assets in the plan to meet their needs upon retirement.

Some individuals will be investing for growth and will therefore seek assets that have the potential for capital gains. Others, such as retirees, may need to draw an income from their assets and may therefore choose to invest more in fixed-income and dividend-paying shares. The investment needs of individuals will depend in part on their broader financial circumstances, such as their employment prospects and whether or not they own their own residence. They may also need to consider such issues as building up a cash reserve and the purchase of appropriate insurance policies before undertaking longer-term investments.

Asset managers serving individual investors typically distribute their products directly to investors or through intermediaries such as financial advisers and/or retirement plan providers. The distribution network for individual investors varies globally. In the United States, financial advisers are independent or employed by national or regional broker–dealers, banks, and trust companies. Additionally, many asset managers distribute investment strategies to investors through major online brokerage and custodial firms.

In Europe, retail investment product distribution is fragmented and, in turn, varies by country/region. In continental Europe, for example, distribution is primarily driven through financial advisers affiliated with retail and private banks. In the United Kingdom, products are sold through independent advisers as well as through advisers representing a bank or insurance group. Retail distribution in Switzerland and in the Nordic countries is driven mainly through large regional and private banks. In contrast to the United States and Europe, in many Asian markets retail distribution is dominated by large regional retail banks and global banks with private banking divisions.

Globally, many wealth management firms and asset managers target high-net-worth investors. These clients often require more customized investment solutions alongside tax

Institutional investors primarily include defined benefit pension plans, endowments and foundations, banks, insurance companies, investment companies, and sovereign wealth funds. Each of these has unique goals, asset allocation preferences, and investment strategy needs.

Defined Benefit Pension Plans

Pension plans are typically categorized as either defined contribution (DC) or defined benefit (DB). We previously described DC plans, which relate to individual investors. **Defined benefit pension plans** (DB plans) are company-sponsored plans that offer employees a predefined benefit on retirement. The future benefit is defined because the DB plan requires the plan sponsor to specify the obligation stated in terms of the retirement income benefits owed to participants. Generally, employers are responsible for the contributions made to a DB plan and bear the risk associated with adequately funding the benefits offered to employees. Plans are committed to paying pensions to members, and the assets of these plans are there to fund those payments. Plan managers need to ensure that sufficient assets will be available to pay pension benefits as they come due. The plan may have an indefinitely long time horizon if new plan members are being admitted or a finite time horizon if the plan has been closed to new members. In some cases, the plan managers attempt to match the fund's assets to its liabilities by, for example, investing in bonds that will produce cash flows corresponding to expected future pension payments. There may be many different investment philosophies for pension plans, depending on funded status and other variables.

An ongoing trend is that plan sponsors increasingly favor DC plans over DB plans because DC plans typically have lower costs/risk to the company. As a result, DB plans have been losing market share of pension assets to DC plans. Nevertheless, DB plans, both public and private, remain sizable sources of investment funds for asset managers. As Exhibit 12 shows, global pension assets totaled more than US$41 trillion by the end of 2017. The United States, United Kingdom, and Japan represent the three largest pension markets in the world, comprising more than 76% of global pension assets.

Exhibit 12:

Global Pension Assets (as of year-end 2017)

Country/Region	Total Assets (US$ billions)
United States	25,411
United Kingdom	3,111
Japan	3,054
Australia	1,924
Canada	1,769
Netherlands	1,598
Switzerland	906
South Korea	725
Germany	472
Brazil	269
South Africa	258
Finland	233
Malaysia	227
Chile	205
Mexico	177
Italy	184
France	167
Chinese mainland	177
Hong Kong SAR	164

Spain	44
Total	**41,355**

Note: Column does not sum precisely because of rounding.
Source: Willis Towers Watson.

By geography, the United States and Australia have a higher proportion of pension assets in DC plans, whereas Canada, Japan, the Netherlands, and the United Kingdom remain weighted toward DB plans (see Exhibit 13).

Category
Portfolio Management: An Overview

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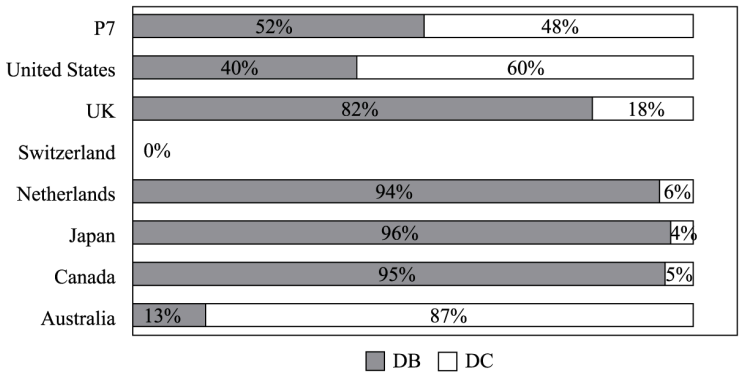
Exhibit 13:

Pension Plan Type by Geography



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This chart shows that by geography, the United States and Australia have a higher proportion of pension assets in DC plans, whereas Canada, Japan, the Netherlands, and the United Kingdom remain weighted toward DB plans. P7 represents the combination of the seven countries listed. No data were available for Switzerland for this study.

Notes: "P7" represents the combination of the seven countries listed. No data were available for Switzerland for this study.
Sources: Willis Towers Watson and secondary sources.

Endowments and Foundations

Endowments are funds of non-profit institutions that help the institutions provide designated services. In contrast, foundations are grant-making entities. Endowments and foundations collectively represent an estimated US$1.6 trillion in assets in the United States, which is the primary market for endowments and foundations.

Endowments and foundations typically allocate a sizable portion of their assets in alternative investments (Exhibit 14). This large allocation to alternative investments primarily reflects the typically long time horizon of endowments and foundations, as well as the popularity of endowment-specific asset allocation models developed by Yale University's endowment managers David Swensen and Dean Takahashi.

Exhibit 14:

Asset Allocations for US College and University Endowments and Affiliated Foundations (as of 30 June 2017, dollar weighted)

Asset Class	Percentage Allocation
Domestic equity	15
Fixed income	7
Foreign equity	20
Alternatives	54

A typical investment objective of an endowment or a foundation is to maintain the real (inflation-adjusted) capital value of the fund while generating income to fund the objectives of the institution. Most foundations and endowments are established with the intent of having perpetual lives. Exhibit 15 describes the Yale University endowment's approach to balancing short-term spending needs with ensuring that future generations also benefit from the endowment, and it also shows the Wellcome Trust's approach. The investment approach undertaken considers the objectives and constraints of the institution (for example, no tobacco investments for a medical endowment).

Exhibit 15: Spending Rules

The following examples of spending rules are excerpts from the Yale University endowment (in the United States) and from the Wellcome Trust (in the United Kingdom).

Yale University Endowment

The spending rule is at the heart of fiscal discipline for an endowed institution. Spending policies define an institution's compromise between the conflicting goals of providing substantial support for current operations and preserving purchasing power of Endowment assets. The spending rule must be clearly defined and consistently applied for the concept of budget balance to have meaning.

The Endowment spending policy, which allocates Endowment earnings to operations, balances the competing objectives of providing a stable flow of income to the operating budget and protecting the real value of the Endowment over time. The spending policy manages the trade-of between these two objectives by combining a long-term spending rate target with a smoothing rule, which adjusts spending in any given year gradually in response to changes in Endowment market value.

The target spending rate approved by the Yale Corporation currently stands at 5.25%. According to the smoothing rule, Endowment spending in a given year sums to 80% of the previous year's spending and 20% of the targeted long-term spending rate applied to the fiscal year-end market value two years prior.

Source: 2017 Yale Endowment Annual Report (p.18) [http://investments.yale.edu/endowment-update/]

Wellcome Trust

Our overall investment objective is to generate 4.5% percent real return over the long term.

This is to provide for real increases in annual expenditure while reserving the Trust's capital base to balance the needs of current and future beneficiaries.

We use this absolute return strategy because it aligns asset allocation with funding requirements and provides a competitive framework in which to judge individual investments.

Source: Wellcome Trust website (https://wellcome.ac.uk/about-us/investments)

Banks

Banks are financial intermediaries that accept deposits and lend money. Banks often have excess reserves that are invested in relatively conservative and very short-duration fixed-income investments, with a goal of earning an excess return above interest obligations due to depositors. Liquidity is a paramount concern for banks that stand ready to meet

Insurance companies receive premiums for the policies they write, and they need to invest these premiums in a manner that will allow them to pay claims.

Insurance companies can be segmented into two broad types: life insurers and property and casualty (P&C) insurers. Insurance premiums from policyholders comprise an insurance company's general account. To pay claims to policyholders, regulatory guidelines maintain that an insurance company's general account is typically invested conservatively in a diverse allocation of fixed-income securities. General account portfolio allocations differ among life, P&C, and other specialty insurers (e.g., reinsurance) because of both the varying duration of liabilities and the unique liquidity considerations across insurance type.[10] In contrast to the general account, an insurer's surplus account is the difference between its assets and liabilities. An insurer's surplus account typically targets a higher return than the general account and thus often invests in less-conservative asset classes, such as public and private equities, real estate, infrastructure, and hedge funds.

Many insurance companies have in-house portfolio management teams responsible for managing general account assets. Some insurance companies offer portfolio management services and products in addition to their insurance offerings. An increasing trend among insurers (particularly in the United States) is outsourcing some of the portfolio management responsibilities—primarily sophisticated alternative asset classes—to unaffiliated asset managers. Several insurers manage investments for third-party clients, often through separately branded subsidiaries.

Sovereign Wealth Funds

Sovereign wealth funds (SWFs) are state-owned investment funds or entities that invest in financial or real assets. SWFs do not typically manage specific liability obligations, such as pensions, and have varying investment horizons and objectives based on funding the government's goals (for example, budget stabilization or future development projects). SWF assets more than doubled from 2007 to March 2018, totaling more than US$7.6 trillion.[11] Exhibit 16 lists the 10 largest SWFs in the world. The largest SWFs tend to be concentrated in Asia and in natural resource-rich places.

Exhibit 16:

Largest Sovereign Wealth Funds (as of August 2018, in US$ billions)

Place	Sovereign Wealth Fund (Inception Year)	Assets
Norway	Government Pension Fund—Global (1990)	1,058
Chinese Mainland	China Investment Corporation (2007)	941
UAE – Abu Dhabi	Abu Dhabi Investment Authority (1976)	683
Kuwait	Kuwait Investment Authority (1953)	592
Hong Kong SAR	Hong Kong Monetary Authority Investment Portfolio (1993)	523
Saudi Arabia	SAMA Foreign Holdings (1952)	516
Chinese Mainland	SAFE Investment Company (1997)	441
Singapore	Government of Singapore Investment Authority (1981)	390
Singapore	Temasek Holdings (1974)	375
Saudi Arabia	Public Investment Fund (2008)	360
Total SWF Assets under Management		**8,109**

Source: SWF Institute (www.swfinstitute.org).

Exhibit 17: Summary of Investment Needs by Client Type

Client	Time Horizon	Risk Tolerance	Income Needs	Liquidity Needs
Individual investors	Varies by individual	Varies by individual	Varies by individual	Varies by individual
Defined benefit pension plans	Typically long term	Typically quite high	High for mature funds; low for growing funds	Varies by maturity of the plan
Endowments and foundations	Very long term	Typically high	To meet spending commitments	Typically quite low
Banks	Short term	Quite low	To pay interest on deposits and operational expenses	High to meet repayment of deposits
Insurance companies	Short term for property and casualty; long term for life insurance companies	Typically quite low	Typically low	High to meet claims
Investment companies	Varies by fund	Varies by fund	Varies by fund	High to meet redemptions
Sovereign wealth funds	Varies by fund	Varies by fund	Varies by fund	Varies by fund

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